

LASR pitch deck

PITCH — LASR — PROPOSED VERDICT (one line)

PROPOSED — PENDING ADJUDICATION: DO NOT BUY. Stay flat and watch. Both the prosecution and the defense independently reached “no entry” at 7/10 conviction; reopen conditions are defined below.

What we believe

nLIGHT (LASR, ~\$56.16 at Friday’s close) is a real, improving defense-laser business that just got hit by something outside its control: China has begun applying case-by-case export-licensing scrutiny to specialized optics that nLIGHT buys as an input, and the company pulled roughly \$17 million of expected product shipments out of its Q3 guidance (new range \$63–73M) as a result. Management describes the impact as a deferral — the orders and backlog are retained, and shipments are “expected to be delivered in future quarters” — not lost demand.

But we believe the stock is not buyable here, for two reasons that must *both* be wrong for a purchase to make sense:

1. **Duration is unknowable.** There is no published Chinese regulation, list, or statute that names optics or sets license timelines. The constraint is discretionary and case-by-case, which means its duration is a policy decision we cannot read or model. Management’s own range is “months to quarters,” and its mitigation (qualifying new suppliers, redesigning products) is itself a multi-quarter project.
2. **Even the “clean” earnings don’t support the price.** On the *record* pre-disruption quarter — the most generous possible base — the company trades at roughly 66× enterprise value to adjusted EBITDA. Stock compensation is running about \$21.8M in the first half of 2026 (~\$10.9M/quarter), which is large enough to consume essentially all of the non-GAAP profit. The pre-crash price near \$75–87 was resting on a growth story, not on earnings, and the 26% drop was a mechanically justified multiple correction rather than an overreaction.

What the market believes

The market has already repriced this substantially: the stock is down about 35% from its 52-week high of \$86.95, yet still up roughly 126% from its 52-week low of \$24.87. The prevailing read appears to be: the defense business (the record Q2, the laser-weapons program momentum) is intact and valuable; the China-optics problem is a supply-chain timing issue of uncertain length; and some meaningful growth premium is still deserved. In February 2026 the market cleared a \$201M follow-on stock offering at \$44.00 per share — with the underwriters’ overallotment fully exercised — so \$44 is a recent, real price at which large institutional buyers were willing to take size. Today’s price sits 22% above that cleared level.

Why we might have edge

- **The defense (blue) bench identified a defined upside catalyst the bear case ignores:** if the deferral resolves, a future quarter's guidance becomes base + the returning \$17M + catch-up shipments — an asymmetric, dateable positive surprise.
- **The demand story genuinely survived scrutiny.** The prosecution could not show demand destruction; the damage is on the supply side. Backlog is retained by management's own language.
- **The Q3 guide may be an artificially depressed base.** Anyone valuing the company off an annualized trough quarter (as our own prosecution initially did, at "175×") is making a base-effect error; the honest multiple is 66× off the record quarter. If the market makes the same trough-annualizing mistake into weakness, that could create a real entry.
- **We found a fact the market data vendors had wrong:** our own evidence pack's share count (49.6M, from the last audited filing) was stale; the true count is 56,408,709 shares as of 2026-05-06 after the February offering ([StockTitan on the follow-on](#)). Knowing the correct capitalization — and that the ~\$330M cash pile is raise proceeds, not cash generation — sharpens any future valuation work.

Why it might be priced in

- The 26% post-guidance drop already discounts a meaningful deferral. "The narrative was refuted" is not the same as "the stock is mispriced" — the prosecution showed the derating is arithmetically consistent with a growth-multiple correction.
- Defense lasers are a crowded, well-covered 2026 theme. This is not an undiscovered name; the +126%-off-the-low tape is the signature of a story that has already been found. (Caveat: neither bench actually ran our crowding/attention check — this is pattern-read, not verified.)
- Even a full, fast resolution of the China issue returns the company to a valuation (66× EBITDA, with stock compensation eating the non-GAAP profit) that requires years of flawless execution to grow into. Resolution of the *known* problem doesn't make the price cheap.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"\$1.08B of market cap removed for \$17M of timing" (bear framing of overreaction)	Evidence-pack tape	The \$75 anchor was a post-hype peak; stock still +126% off its low; derating is consistent with a justified multiple correction	YES — the "overreaction" framing fails
The \$17M is a permanent ~\$68M/yr run-rate loss (prosecution's reframe)	Management language + the prosecution's own cited source	Shipments "expected to be delivered in future quarters"; backlog retained. Our own red bench erred: it manufactured a perpetuity from a deferral	NO — refuted by our defense bench

Claim	How checked	Found	Confirmed?
Guided quarter implies ~175× EV/EBITDA	Arithmetic recheck	Math was right but annualized the disrupted trough quarter — a base-effect error our own red bench committed ; honest figure is ~66× on the record quarter, still rich	PARTIALLY — corrected to 66×, kill stands
China's August 5 export announcement covers optics/lasers (defense bench's original escalation claim)	Fetches the primary: Xinhua, 2026-08-05	Text covers “drones, their key components and related technologies” — no mention of optics. Our own blue bench erred in citing it; both benches later confirmed the refutation	NO — citation overreach; the real optics constraint has no readable primary text
Deferred-revenue growth (\$1.5M→\$10.7M) evidences customer demand for the stranded product	Accounting logic (10-Q itself unreadable — SEC fetch blocked three ways this session)	Unshipped, <i>unbilled</i> revenue cannot sit in deferred revenue; the build is plausibly defense milestone billings instead	NO — category error; undecomposed until the 10-Q is read
Share count ~49.6M / market cap basis in dispute	One web search	Feb-2026 follow-on of ~\$201M at \$44.00; 56,408,709 shares as of 2026-05-06 (proxy via StockTitan). Our evidence pack was stale and our red bench left a one-search fact “unresolved”	YES — resolved in blue's favor
Stock compensation ~\$6M/quarter	Pack XBRL vs H1-2026 figures	Pack figure was Q1-2025-stale; actual H1-26 SBC ≈ \$21.8M (~\$10.9M/q) — nearly double, and worse for the bull case	YES — corrected upward
Six insider Form 144 sale notices during the \$50→\$87 run	Pack filing inventory	Cadence confirmed; June Form-4 cluster plausibly routine post-raise annual grants, but contents unread	PARTIALLY — flag stands, contents unverified
No way to monitor the thesis before the Nov print	Customs-records check (came back empty on both company aliases) + channel inventory	Import records are invisible, but peer disclosures (IPG Photonics, Coherent, Lumentum share the Chinese optics supply base), MOFCOM announcements, 8-Ks, and program milestone PRs are watchable. Red overstated “none”	PARTIALLY — tripwires are weak, not absent

PROPOSED ENTRY BANDS

The courts say no entry today. These are the reopen conditions, taken from the benches' own math:

- **Price reopen level: \$44.00 or below.** This is the February 2026 follow-on clearing price — the most recent level where institutions demonstrably absorbed ~\$201M of stock. A retrace to or below it removes the 22% premium to a market-cleared anchor and forces a fresh valuation review. (This is a *review* trigger, not an automatic buy: at \$44 the multiple is still demanding.)
- **Evidence reopen conditions (any one reopens the case; the courts implied all three together would support a starter position):**

1. The Q3 10-Q's deferred-revenue decomposition becomes readable and shows the build is not merely defense milestone billings — or the risk-factor language confines the China constraint to commercial (non-defense) optics.
 2. A primary Chinese government (MOFCOM) text names optics with defined license timelines — converting an unbounded policy risk into a bounded, modelable one.
 3. The Q3 print shows Products revenue $\geq$ \$43M with the deferred balance still building — evidence shipments are flowing again.
- **Adds/exits:** none — there is no position. **Sizing:** 0% now; any future starter must be sized after re-running valuation on the corrected 56.4M share count and ~\$10.9M/quarter stock compensation.
 - **Catalyst dates:** Q3 earnings ~**2026-11-05** (derived from a data vendor, NOT confirmed by any company press release — treat as approximate). Chinese licensing announcements: no date; can land any day.
 - **Explicit trap warning from the benches:** if the stock falls into the print and the guided quarter comes in at the low end, do not annualize that quarter to call it cheap — that is the exact base-effect error our own prosecution made.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 44.0 (deck-provisional: Feb-2026 follow-on clearing price (\$201M fully absorbed at \$44.00); retrace removes the premium to a m)
- filing watch: 8-K until 2027-02-05 (deck-provisional: shipment-resumption disclosure, Chinese licensing developments, or Q3 print (the main falsifier: Produ)
- dated pack LASR|2026-11-05: LASR: Q3 2026 earnings print - vendor-derived date, not confirmed by company PR (date confirmed=False)

What remains unverified

- **The 10-Q itself.** Nobody — either bench, three fetch methods — could read the just-filed 10-Q. The deferred-revenue decomposition, the risk-factor language on China, and the current balance-sheet detail are all unread.
- **The actual scope of China's optics scrutiny.** No primary text exists to read; everything rests on management's characterization and secondary press.
- **Contents of the six insider Form 144s and the June Form 4 cluster** — plausibly routine post-raise grants and planned sales, but unopened.
- **Whether the laser-weapons program funding (the ~\$627M ceiling cited in the bull story) is programmed government money** — the Pentagon budget-justification documents were not pulled.

- **Crowding/positioning** — our attention-and-positioning check never ran on either bench; “theme-crowded” is a pattern read, not a measurement.
- **The defense-BOM contamination question** — management conceded some *defense* products embed the same Chinese optics; call coverage says the impact is “mainly commercial,” but that is a secondary source characterizing a concession, not a quantified disclosure.
- **The next-print date** (2026-11-05) is vendor-derived and unconfirmed by the company.

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